Key finding 2

The generational tipping point has made wellness benefits a must-have.

Our results show that traditional benefits remain the core of employers' offerings — table stakes, in other words. In a time of great uncertainty, employees and employers agree on the need for more holistic wellbeing, including physical, mental, financial, professional and societal wellness. Our 2023 study introduced the Wheel of Wellness, a new framework for employers and benefits providers to view their strategies in a changing environment. Our 2025 research reconfirms significant interest in a wide range of benefits, reflecting diversifying workforce demographics and other workplace trends. Indeed, rising interest in many different types of benefits reflects the generational tipping point that has taken place in the labor force.

As of 2024, Gen Z workers outnumber baby boomers, with millennials representing the largest generational cohort in the workforce. By 2030, Gen Z workers will account for more than 30% of the workforce, according to the U.S. Bureau of Labor Statistics.

Share of the U.S. labor force, by generation

36%	31%	18%	15%	1%
Millennials	Gen X	Gen Z	Baby boomers	Silent Generation

Source: "Changes in the U.S. Labor Supply," Trendlines, U.S. Department of Labor, Employment and Training Administration, August 2024.

Our employer and employee surveys provide both a gauge of current product interest and insight into future trends. *See Figures 4 and 5.* First and foremost, the continued rise in medical costs is prompting a "back-to-basics" mindset among both employers and employees; medical, dental and vision all show higher interest when compared with our 2023 survey. These are high utilization benefits, so it is clear that their importance remains high. Some ancillary benefits and services, particularly those addressing financial wellness (e.g., debt management, student loan assistance, legal services) have seen a decline in interest among employers.